GMS WEEKLY

Your Source for Recycling News

January 31st, 2025
Week 5
Volume 268, Issue 1171

Highlights:

- **Frantic start.**
- **Pressure on.**
- **Mostly dry & LNG.**
- **Tariff time.**
- **Tastes like...**
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QUOTE of the WEEK

"Politics is the art of looking for trouble, finding it everywhere, diagnosing it incorrectly, and applying the wrong remedies."

– Groucho Marx

-- MARKET COMMENTARY --

SLIPPERY AS A SNAKE!

Despite a frantic start to 2025 that saw a marked return of recycling tonnage at the bidding tables, SNP activity across the global ship recycling spectrum eased further this week as Chinese New Year holidays descended upon the world. It is the "Year of the Snake" and it is indeed expected to be a far busier one than the preceding years, with record low volumes of supply and an ensuing inertia that eventually led to the shuttering of yards across the major global ship recycling destinations in 2024. Notwithstanding, should supply become unsustainable, this may apply even further pressure on recycling markets and eventually affect ship owners down the line, who will then have no choice but to bite the bullet of chasing falling prices in markets. So far, India & Bangladesh have shouldered the increasing number of vessels since October of 2024, when Pakistani recyclers all but disappeared from the bidding tables on the back of unfolding domestic financial crises. However, the Gadani Gang is now looking to get back into the game once again, at a time when locally favored dry bulk (Panamax and handy bulkers) vessels and LNG tankers have been much of the ongoing flavor of recycling sales so far this year (see port reports below), with containers expected further down the road given the recent easing of traffic in the Red Sea shipping lanes. Yet, on a global scale, all is not well as the saying "The Rise of the Fall" seems to be unfolding across as President Trump's Tariffs to the tune of 25% on Mexico and Canada + an additional 10% on Canadian energy exports and a blanket 10% tariff on China that is due to set into effect on February 4th, has already seen global economies reacting and leaders of Canada & Mexico promising counter-tariffs on American exports.

The Baltic Dry Bulk Index also gained ground as rates across the dry bulk categories displayed signs of positivity / improvement this week, which might still be late for a bulk of the already-aged still-trading units that are being compelled to reconsider their immediate futures. Making matters for inflation and global economies were oil futures that are expected to surge and even reported firming this week as levels approached USD 74/barrel once again, and Week 6 is likely setting itself up to be the pivotal point of global Tariff Wars of 2025. This also seems to be affecting the performance of the U.S. Dollar, which although seems to have made minor improvements against most of the major ship recycling nation currencies by the end of the week, actually started to decline across the board early in the week with the uncertainty of the upcoming Tariffs, which even resulted in flattening steel plate prices at all ship recycling nations, except India where expectedly, they declined. The emergence of recycling traffic has also seen a remarkable amount of LDT at both India & Bangladesh this week, and this is not only happening amidst declining vessel offers that have cooled by up to USD 30/LDT over the course of January, but also from the few recyclers (in Bangladesh & Pakistan) who are financially secure enough to even be at the tables and drop an offer.

Tariffs on Chinese steel stand to be of key concern to the sub-continent ship recycling markets and when China starts dumping their surplus post-tariff steel, it will be a critical factor in demand and vessel pricing for much of this year. Finally, Turkey at the far end was no stranger to the "doom and gloom" theme event as even though their plate prices remain relatively unchanged, amidst an improvement in supply this week, offers of about USD 30/Ton lower shocked the industry as markets across the board seem to be falling in unison. Tastes like 2008 all over again.

GMS demo rankings / pricing for week 5 of 2025 are on Page 5.

BANGLADESH

BREATHER!

Chinese break.

In the wake of Chinese New Year holidays, Chattogram Choppers seem to have gotten a much-needed breather this week as the recent supply of recycling tonnage has mostly been Panamax bulkers from Chinese / Far Eastern owners since the start of the year, coinciding with ongoing offer declines of up to USD 30/Ton on dry units from the few open and capable buyers. As such, it has been difficult to negotiate tonnage into Chattogram of late, especially as most of the tonnage has even been opening in the Far East and has seen Bangladeshi buyers swallow nearly all of the recycling arrivals (in terms of the number of vessels) this week, certainly the most LDT we have seen arrive any waterfront in a while with nearly 105K LDT either idling or already delivered to their new owners. Yet, the nation's ship recycling waterfront disguises the true state of local affairs as the ongoing economic instability highlighted by a resurgence of political instability, is pushing once again domestic recyclers into a fresh corner of confusion after a year of tonnage scarcity.

Price dive.

As highlighted last week, the timely effectiveness of the interim government seems to remain in question as not only have some domestic infrastructure projects been entirely rescinded, but those in question are being re-evaluated for over-bloated budgeting practices and is back to the drawing board for this sector for the time being. Moreover, steel trade remains abysmal as fears of incoming tariffs coupled with Chinese New Year Holidays have likely been the reason behind the flatlining performance of steel plate prices, with a side of a large hangover of reigning political affairs. On the political end, ousted PM Sheikh Hasina's crumbled party is reportedly attempting to regroup and calling for renewed activism, whilst college students, who were the drivers behind the ousting of her regime, are reportedly in talks to create a new political party in order to run in the upcoming elections. As this only spells further delays for the nation's economic recovery for the rest of the year, the present is unfortunately turning into a troublesome time for ship owners and cash buyers who are misreading the tea leaves amidst a time these markets are performing contrary to historical Q1 norms on the back of rare events.

Seeking direction.

As local steel plate prices remain dead on the floor at USD 529.41/Ton, the Taka made a marked and rather surprising improvement against the U.S. Dollar, to the tune of 21 basis points as the week ended, closing it at BDT 120.59. This consistent volatility and weakening of the Taka across 2024 (and even of late), has seen prices gradually decline from the highs of USD 600/Ton, down to the mid USD 400s/Ton, with unfolding indications of up to USD 30/LDT lower on tabled tonnage. As such, any dry units currently for sale are only seeing USD 450/LDT depending on condition of the vessel and especially, the availability / interest of an open-end buyer given that many recyclers are now booked with tonnage for the near future. Moreover, with the January 31st deadline to obtain NOCs for incoming recycling tonnage now past, the BSBRA has appealed to the Ministry of Affairs for an extension once again, in order to provide recyclers who have initiated infrastructure upgrades on their yards, to receive time beyond the January 31 cut off and get up to HKC standards well prior to entry into force in June of this year, as most yards are still on their way to obtaining a an SoC backed HKC accreditation. Coupled with the extremely shaky state of fundamentals, February maybe a challenging time for Sellers/Cash Buyers with this market.

Accreditations

NO MARKET SALES REPORTED

INDIA

UNCHANGED!

The Indian budget was announced this week without much fanfare for Alang's ship recycling sector. Moreover, even though the government has dived nose first into improving the lives of the lower and middle classes via massive tax cuts / breaks in this budget, the only indirect effect to Alang's ship recycling sector was the announcement of a 3-year plan to distribute intended infrastructure projects, a decision which stands to delay any steel recovery that maybe in store for the nation's immediate ship recycling needs. Meanwhile, despite the threat of incoming tariffs flatlining plates from the major recycling destinations this week, India was the only one to register a decline to the tune of nearly USD 3/Ton, ending the week at USD 455.75/Ton and just barely above prevailing offers on any dry vessels currently making the rounds. Even the Indian Rupee fell drastically through the week, only to make a minor improvement towards the end of the week and still record an overall decline of 20 basis points to close at Rs. 86.33 against the U.S. Dollar.

No change.

Tariff aims.

The weakening state of local offers coupled with the fact the much of the tonnage across recent weeks has emanated from Far Eastern waters thereby completely circumventing any chance for Pakistani / Indian recyclers from even bidding on these units, has eventually resulted in the first week of 2025 where Alang reported only one large-LDT arrival for the week, along with a couple of deliveries of prior arrivals that saw local anchorage LDT balloon to well over 70K LDT this week – a number not seen at the Indian waterfront in some time.

Notwithstanding, the budget did provide a breadth of far-reaching tax cuts and even complete tax breaks for individuals and families ranging from the lower and middle classes, delivering more cash for consumers through FY 2025 – 2026 along with the expectation that private sector infrastructure investments will likely go up, kickstarting demand for steel as well, which would then help 2025 hold a candle to 2024s performance. Yet, the return and unfolding of this performance remains up for grabs as the fine print of the budget is still being digested.

Geographic advantage.

Finally, as little to no infrastructure upgrades are needed for Alang's ship recycling yards, there isn't a need for financial loans by local buyers as most yards have already fulfilled their obligations at obtaining their HKC SoC accreditations and are prepared to take on Q3 with the same fervor as Q2.

Overall, as Trump's tariffs on Chinese steel will inevitably affect sub-continent markets in some way and despite India also placing their own tariffs on Chinese steel imports, an impending excess of globally available Chinese steel could disrupt sub-continent steel and furthermore, vessel prices from India. As India, Pakistan and Bangladesh are all on a virtually level playing field in terms of price, a vessel's final discharge location a.k.a. geography seems to be the only determinant factor as to where vessels eventually end up.

NO MARKET SALES REPORTED

PAKISTAN

CLOSE…BUT NO CIGAR!

Need to do more.

Despite offers from the Pakistani ship recycling sector lagging not too far behind their Indian counterparts (perhaps Indian offers declining to be more in line with those from Pakistan?), Gadani ship recyclers need to get a lot more serious, not just to conclude deals but even continue to do business post July 1st, 2025.

To start, not only do they need to take stock of the current economic situation within the country and gauge the immediate direction of the winds in the face of tonnage being offered, but to also bear in mind what is also happening with the competition in the near and far terms, so as to strategically start offering (even above market if needed) on the right unit(s) and get the wheels of Pakistan's ship recycling sector turning once again. Not to mention, as Bangladeshi ship recyclers pursue extensions with their respective Ministries in order to keep Bangladeshi ship recycling yards open for business post January 31, reportedly, neither the Pakistani government nor Pakistani ship recyclers have undertaken any serious measures to initiate infrastructure upgrades on their yards or even have the possibility of completing them in time for when the HKC comes into effect, further laying barriers in the ability of this nation to represent themselves at the ship recycling tables starting Q3, and as it seems the present / cemetery-like appearance of the shores of Gadani that it is now past 4.5 months of missing tonnage arrivals at the water front, is likely to face another terrible year for ship recycling.

Largely absent.

Even the Pakistani government needs to do more, not only to assist Gadani buyers by way of more liquidity and financial instruments being made available to Gadani buyers, but also to the nation overall as Pakistan is hemorrhaging through its financial reserves as a handful of incoming financial aid hangs in the balance. The nation's fundamentals are doing little to assist local ship recyclers as not only did Pakistani Rupee drop 12 basis points against the U.S. Dollar and close the week at PKR 278.44, but local steel plate prices, the highest in the Indian sub-continent, have also remained flat on the floor for months on end and closed the week at USD 643.78/Ton.

Demand slow.

Overall, having been largely absent from the buying for the last two years, a greater degree of confidence and certainty is needed locally, in order for the Gadani Gang to get back into the picture with any sense of normality for 2025. And while the demand for finished products remains slow and low, and the possibility of an influx of even cheaper Chinese steel stands to greet February starting from the 4th (once Trump's Tariff's kick in), local plate prices will likely decline and lower the intensity of local offerings to one that would only assure more of the same performance and the likely closure of even more recycling yards.

NO MARKET SALES REPORTED

TURKEY

SPLASH!

Bitter Bullet.

Turkey's unrelenting collapse in fundamentals and eventual collapse in vessel pricing that has been teasing the industry for so many weeks, finally made a grand splash this week as local offers declined in sync with sub-continent ship recycling markets and to the tune of USD 30/Ton across the board. And while import and local steel plate prices have marginally remained in the same state since last week, the Turkish Lira's unfinished dive into the abyss continued unabated, closing the week out at TRY 35.71 against the U.S. Dollar.

Notwithstanding, and like the rest of the industry, even though a surprising uptick in the amount of tonnage being proposed to local recyclers has reportedly gone up this week, it is up to already disappointed ship owners to consider another USD 30/Ton officially wiped off Turkish prices as well, further exasperating the price differential with sub-continent markets and making matters that much harder for Turkish Recyclers.

How many of these ship owners will consider repositioning their vessels with further cargo runs that relocate their units suitable for a sub-continent redelivery, remains to be seen. For now, what will be interesting to note is how many ship owners will actually bite the bitter bullet of falling prices once again.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 5 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Weak**	450 / LDT	470 / LDT	480 / LDT
2	India	**Weak**	445 / LDT	465 / LDT	475 / LDT
3	Pakistan	**Weak**	440 / LDT	460 / LDT	470 / LDT
4	Turkey	**Weak**	280 / LDT	290 / LDT	300 / LDT

ODD ONES.

- *A recent Bankrate survey found that 42 percent of U.S. adults who were married or living with a partner admitted to keeping a financial secret from their significant other.*
- *According to a 2023 Ipsos survey, cornhole is the most-played sport in America, ahead of bowling, swimming and golf.*
- *According to one 2020 United Nations study, an estimated 90 percent of female migrants traveling along the Mediterranean route were raped.*
- *A study in Current Biology reported that Florida carpenter ants had been observed biting off and cleaning the injured limbs of afflicted nest mates, the first-time amputation has been seen to be carried out by an ant species.*
- *Los Angeles experienced an 81 percent increase in shoplifting in 2023, according to an analysis by Crosstown LA, a nonprofit newsroom.*
- *According to Barcelona's institute of regional and metropolitan studies, the water consumption of the average guest at a luxury hotel is five times that of a resident.*
- *The sprinter Usain Bolt estimated that he ate 100 McDonald's chicken nuggets each day at the 2008 Beijing Olympics, because they were a familiar food he knew his stomach could handle. He won three gold medals that Olympics.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
February 02 & 03 – Vasant Panchami February 26 – Maha Shivratri	January 28 – February 04 February 10 – February 16

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
February 15 – Shab-e-Barat February 21 – Shahid Day February 26 – Independence & National Day	January 30 – February 02 February 14 – February 17

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
January 28 – February 04 – Chinese New Year / Spring Festival Holiday	February 05 – Kashmir Solidarity Day	**No holidays until March**

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ALANG - Port Position as of January 31, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Medelin Master*	*3,852*	*Chemical Tanker*	*Delivered January 23*
2	Nolan	21,861	Oil Tanker	Arrived January 25
3	*Takun (Under Tow)*	*47,335*	*Tanker*	*Delivered January 26*
Total Tonnage		**73,048**		

CHATTOGRAM - Port Position as of January 31, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Alek	3,120	General Cargo	Arrived January 28
2	Guo Yuan 9	9,265	Bulk Carrier	Arrived January 22
3	*Jin Hau Fu*	*10,607*	*Bulk Carrier*	*Delivered January 29*
4	Lean	29,182	LNG Tanker	Arrived January 27
5	*Mit*	*29,970*	*LNG Tanker*	*Delivered January 30*
6	Ocean Peace	10,848	Bulk Carrier	Arrived January 28
7	Three Star	7,627	Bulk Carrier	Arrived January 23
8	*Zenith*	*3,826*	*Container*	*Delivered January 29*
		104,446		

GADANI - Port Position as of January 31, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported		
Total Tonnage		**-**		

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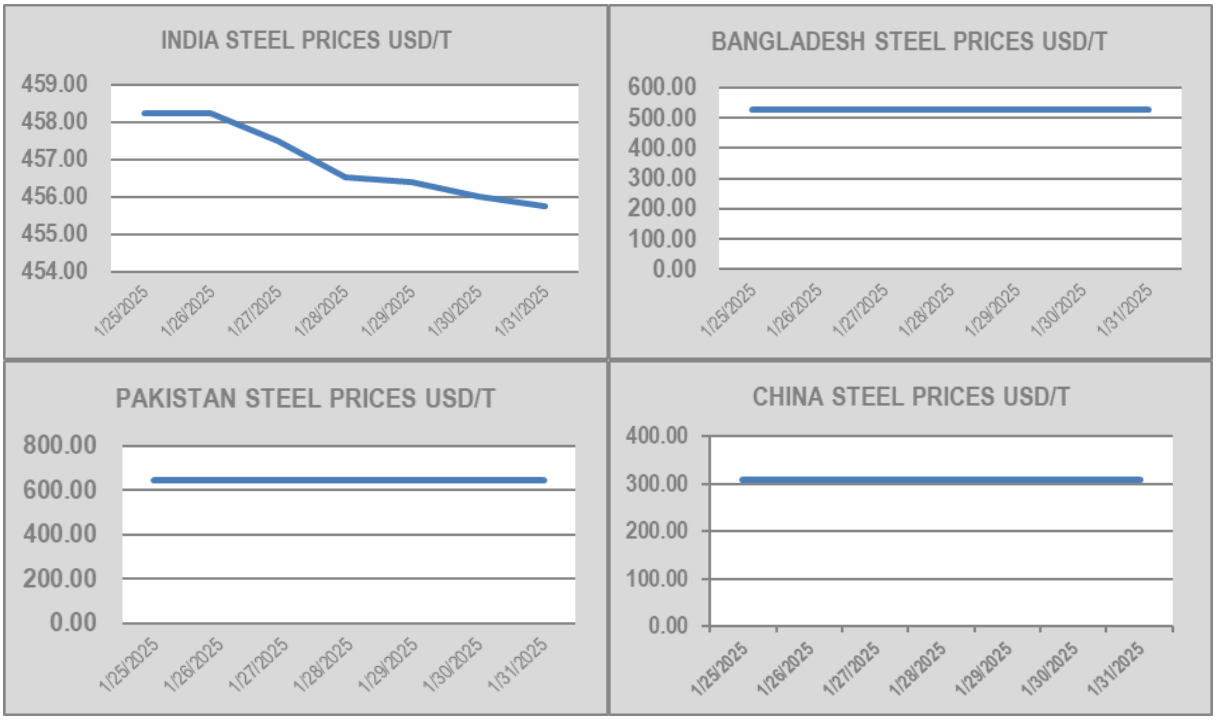
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
1/25/2025	458.24	39,500.00	643.78	180,000.00	529.41	63,000.00	308.13
1/26/2025	458.24	39,500.00	643.78	180,000.00	529.41	63,000.00	308.13
1/27/2025	457.49	39,500.00	643.78	180,000.00	529.41	63,000.00	308.13
1/28/2025	456.54	39,500.00	643.78	180,000.00	529.41	63,000.00	308.13
1/29/2025	456.38	39,500.00	643.78	180,000.00	529.41	63,000.00	308.13
1/30/2025	456.01	39,500.00	643.78	180,000.00	529.41	63,000.00	308.13
1/31/2025	455.75	39,500.00	643.78	180,000.00	529.41	63,000.00	308.13



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